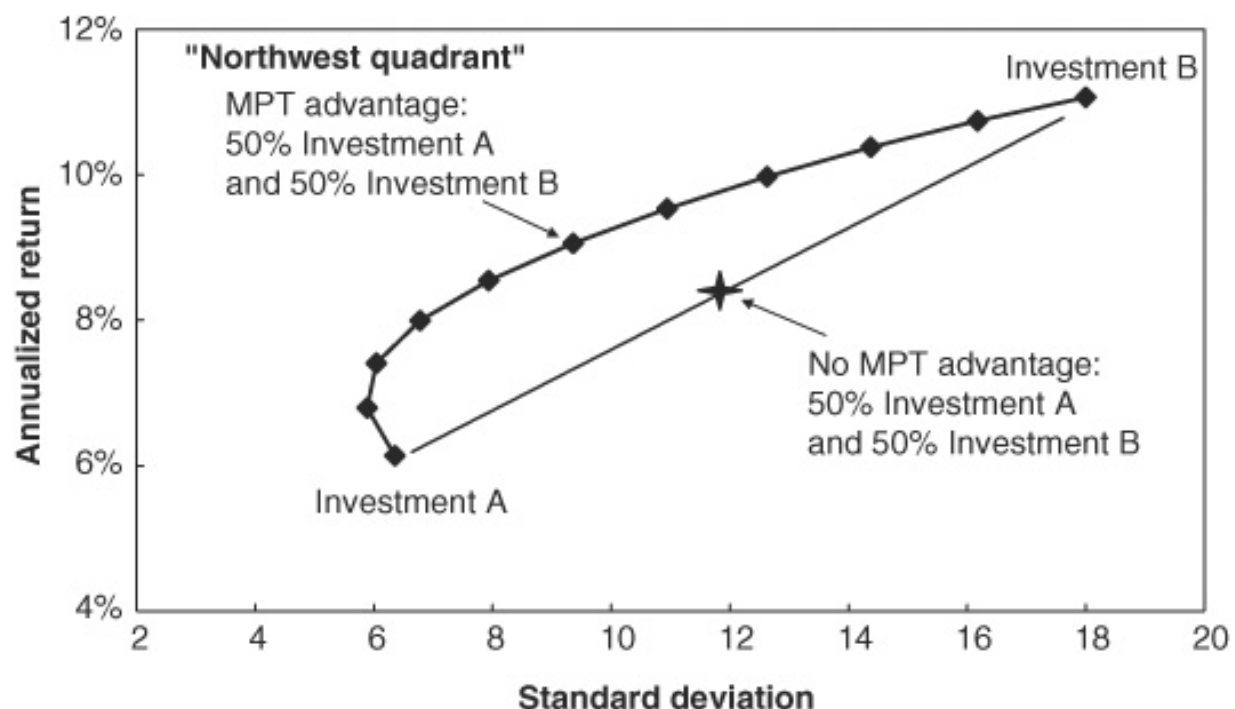


FIGURE 3-7

Risk-and-Return Chart Showing Diversification Benefit of Asset Allocation



One might expect that a portfolio of 50 percent Investment A and 50 percent Investment B would have a return-and-risk level where the star is located, which is halfway between the two investments. However, the actual risk of 50 percent in Investment A and 50 percent in Investment B was much lower than expected, and the return was higher. This was a result of annual rebalancing

Let's put some names to those two investments. Investment A is actually the annualized return and standard deviation of the intermediate-term Treasury notes from 1950 to 2009. Investment B is the annualized return and standard deviation of the S&P 500 from 1950 to 2009. Each point on the line represents portfolios using 10 percent increments of the two asset classes. This can be seen in [Figure 3-8](#).

Based on the return data calculated for [Figure 3-7](#), there was an MPT advantage in the five-year Treasury notes and S&P 500 portfolio during the period measured. [Table 3-3](#) quantifies what the advantage was.

FIGURE 3-8